

# MLTX pitch deck

## PITCH — MLTX — PROPOSED VERDICT

**PROPOSED — PENDING ADJUDICATION: BUY a half-size starter (~0.5% of book) near \$16.59; no adds until the FDA accepts the filing (~end November 2026); exit if the FDA refuses the file or the trial's placebo-adjusted benefit comes in under 15 points at unblinding.** (Red bench voted no-position, conviction 6/10; blue bench partially overturned to this staged half-starter, conviction 7/10.)

### What we believe

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MoonLake Immunotherapeutics is a clinical-stage biotech whose lead drug, sonelokimab, just reported a successful Phase 3 trial (IZAR-1) in psoriatic arthritis: the company says it met all endpoints, with 42.1% of patients reaching a 50% symptom improvement (ACR50) at week 16, rising toward ~60% by week 24. We believe:

- 1. The approval path is likely intact.** The company reports the FDA sees “no remaining gaps” ahead of its marketing application, guided for submission around the end of September 2026, with an acceptance decision around end of November.
- 2. The drug is probably at least as good as the incumbent.** The trial was placebo-controlled, and published history says placebo response rates in psoriatic arthritis run a stable 10–15%. So a 42.1% absolute response implies roughly a high-20s-percentage-point benefit over placebo — about parity with UCB's Bimzelx, the closest competitor, whose landmark trial showed 44% response versus 10% placebo ([Lancet, BE OPTIMAL](#)). This bounding argument was the blue bench's decisive contribution — the exact benefit is still hidden (see below), but it can't plausibly be terrible.
- 3. The price already punished the stock for worse than this.** Shares trade at \$16.59, down 74% from the 52-week high, 11% below where they sat two days before this *positive* result, and 18% below the \$20 level where institutions bought \$230 million of stock in June.
- 4. Week-52 durability data** (67.2% of completers holding a high response) reads like-for-like with the incumbent's published figures — weak but directional support.

### What the market believes

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The market sold this good news (–11% over two days). The likely read: the company announced *that* the trial succeeded but not *by how much* — the trial stays blinded until week 52, so the placebo-adjusted numbers won't be public until the first half of 2027 ([ClinicalTrials.gov NCT06641076](#) — primary completion 2027-02-04). After this same company's earlier trial in a different disease failed precisely on the placebo-adjusted margin, “trust us, it worked” earns a discount. The market also sees: the CEO, CSO, and CFO together sold about \$5 million of stock at ~\$20 in July; the company filed paperwork

enabling a new share sale the same day as the good news; and a \$400M credit facility plus a 2027 launch build mean more capital will be raised before revenue arrives. In short: the market believes the headline but is pricing the withheld number, the coming share supply, and management's own selling.

## Why we might have edge

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- **The withheld number is bounded, and the market may be treating it as unbounded.** Psoriatic arthritis placebo rates are historically stable (~10–15%), unlike the volatile placebo rates that caused the prior failure. The red bench treated the two diseases as equally foggy; the blue bench showed that's wrong. If the crowd is extrapolating from the earlier failure, the fear is miscalibrated.
- **Two dated, company-guided events land in the buyer's favor within ~4 months** — the filing submission (~Sept 30) and the acceptance decision, possibly with priority review (~end Nov) — against a price 18% below where a \$230M institutional book cleared in June.
- **The insider selling is weaker evidence than it looks:** the sale plans were adopted in March 2026, after the crash, and executed at \$20+, ~20% above today's price. Pre-planned selling at higher prices is a ceiling on management enthusiasm, not a signal at \$16.59.

## Why it might be priced in

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Stated symmetrically, because the red bench's case partly survived:

- **We cannot verify the one thing that matters most.** Differentiation versus the incumbent is a number the company possesses and will not show until H1 2027. Parity (the floor-bounded case) may not be enough for a challenger against an entrenched competitor.
- **“Approvable” rests entirely on the company's own paraphrase of a private FDA meeting.** No FDA text is public; the application isn't even submitted yet, so a refusal-to-file is a live, downside-only tail.
- **Share supply is telegraphed:** an armed shelf, a \$400M credit facility, a commercial launch to fund, and cash runway (~\$537M against ~\$62M/quarter burn) that runs only to mid-2028 *before* launch spending. A raise before launch is near-certain.
- **Management sold ~\$5M at the very level the bull case cites as “institutional support.”**
- The week-52 durability figure counts only patients who finished (396 of ~840 randomized), so it flatters — as does the incumbent's equivalent figure.

## What we checked ourselves

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| Claim                                                          | How checked                            | Found                                                                                                        | Confirmed? |
|----------------------------------------------------------------|----------------------------------------|--------------------------------------------------------------------------------------------------------------|------------|
| Trial stays blinded; no placebo-adjusted numbers until H1 2027 | ClinicalTrials.gov v2 API, NCT06641076 | Triple-blind, placebo-controlled; primary completion 2027-02-04; press coverage confirms blinding to week 52 | YES        |

| Claim                                                        | How checked                                                                        | Found                                                                                                                                                        | Confirmed?                                                                                                             |
|--------------------------------------------------------------|------------------------------------------------------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------|------------------------------------------------------------------------------------------------------------------------|
| Statistical significance vs placebo was achieved             | Company release language (“met all endpoints,” “significant improvements”)         | Significance is asserted at topline; only the <i>magnitude</i> is withheld                                                                                   | <b>YES (as an issuer claim)</b>                                                                                        |
| Implied benefit $\approx$ high-20s points over placebo       | Published Lancet comparator: incumbent 44% vs placebo 10% in the same disease      | 42.1% absolute against a stable $\sim 10\text{--}15\%$ placebo floor implies $\sim$ parity with the incumbent                                                | <b>YES — but it is a derivation, not a disclosed number</b>                                                            |
| CEO/CSO/CFO sold $\sim \$5\text{M}$ at $\sim \$20$ in July   | Form 4 cluster in the filing record (7/02–7/29) + multiple secondary confirmations | $\sim 150\text{k}$ sh (CEO), $\sim 66\text{k}$ (CSO), $\sim 39\text{k}$ (CFO); plans adopted March 2026                                                      | <b>YES</b>                                                                                                             |
| Share-sale shelf filed same day as the good news             | EDGAR filing index                                                                 | S-3ASR + S-8 both dated 2026-08-10                                                                                                                           | <b>YES (dates). Blue’s “routine 3-year shelf rollover” explanation is UNVERIFIED — the filing text returned errors</b> |
| FDA sees “no remaining gaps”                                 | No independent source exists; FDA minutes are private                              | Issuer paraphrase only                                                                                                                                       | <b>NO — plausible, unverified</b>                                                                                      |
| Week-52 durability 67.2%                                     | Company release                                                                    | Completers-only basis ( $n=396$ ), same basis as the incumbent’s $>55\%$                                                                                     | <b>YES — like-for-like but both flattered</b>                                                                          |
| Stock sold the news                                          | Price pack: $\$16.59$ vs $\$17.93$ prior close, $-74\%$ off high                   | Confirmed                                                                                                                                                    | <b>YES</b>                                                                                                             |
| Enterprise value $\sim \$845\text{M}$ ; credit-facility draw | EDGAR document fetch failed (403 errors) both benches                              | EV is an upper bound; drawn debt balance unknown                                                                                                             | <b>NO</b>                                                                                                              |
| <b>Our own bench error #1</b>                                | Runner integrity check                                                             | Red bench’s text showed the drawdown as $+73.6\%$ vs the pack’s $-73.6\%$ ; blue audited it as a sign-parsing artifact — red’s actual framing was consistent | <b>Resolved, no findings discredited</b>                                                                               |
| <b>Our own bench error #2</b>                                | Blue bench cross-examination                                                       | Red treated psoriatic-arthritis placebo rates as volatile like the earlier failed disease; published data says they’re stable — red overstated the fog       | <b>Red’s central kill REDUCED</b>                                                                                      |
| <b>Our own bench error #3</b>                                | Blue bench                                                                         | Red counted routine same-day shelf mechanics as evidence of intent, padding the kill case                                                                    | <b>REDUCED</b>                                                                                                         |
| <b>Original brief’s error</b>                                | Red bench                                                                          | The brief cited $\$20$ as “institutional support” without noting management distributed $\sim \$5\text{M}$ at that exact level                               | <b>Caught by red, stands</b>                                                                                           |

## PROPOSED ENTRY BANDS

All levels from the benches’ own math; sizes assume a standard 1%-of-book starter (the court specified “half-starter”; if the desk convention differs, scale proportionally).

- **Initial entry: BUY ~0.5% of book near \$16.59** (current tape; the post-news washout, 18% below the June institutional clearing price of \$20).
- **Add #1 (to ~1.0%): only on FDA acceptance of the filing with priority review**, expected ~end of November 2026. Acceptance *without* priority review = hold, no add.
- **Add #2: only if the placebo-adjusted week-16 benefit is confirmed  $\geq 25$  percentage points** (at unblinding, or earlier via any FDA-visible disclosure).
- **No adds before acceptance under any circumstances** — supply is telegraphed (armed shelf, near-certain pre-launch raise) and nothing else resolves in the buyer's favor before then.
- **Approaching \$20 with no new data: reassess, do not chase** — that is where management sold and where June buyers sit.
- **Exit triggers (full): FDA refuses to file the application (~November tail), or placebo-adjusted benefit  $< 15$  points at unblinding** (H1 2027).
- **Thesis-recheck: below ~\$14.00** ( $\approx 15\%$  below entry) with no dated catalyst having fired — run a cause-check before averaging down; do not auto-add.
- **Catalyst dates:** BLA submission ~2026-09-30 (company-guided); Q3 report 2026-11-05 (data-vendor-derived, UNCONFIRMED); FDA acceptance / priority-review decision ~end November 2026; trial primary completion 2027-02-04; full week-52 unblinded readout H1 2027.

## ARMED SENSORS

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(armed provisionally with this deck; session adjudication ratifies)

- price alert: fires below 14.0 (deck-provisional:  $\approx 15\%$  below entry with no catalyst fired — forces a cause-check before any add)
- filing watch: 8-K until 2027-02-07 (deck-provisional: BLA submission, FDA acceptance/refusal, priority-review grant — all add/exit triggers arrive here)
- dated pack MLTX|2026-09-30: MLTX: BLA submission, company-guided (~end Q3) (date confirmed=False)
- dated pack MLTX|2026-11-05: MLTX: Q3 report — vendor-derived date, unconfirmed by company PR (date confirmed=False)
- dated pack MLTX|2026-11-30: MLTX: FDA filing acceptance / priority-review decision window (~end November) (date confirmed=False)
- dated pack MLTX|2027-02-04: MLTX: IZAR-1 primary completion per ClinicalTrials.gov NCT06641076 (date confirmed=True)
- dated pack MLTX|2027-06-30: MLTX: outer bound for full week-52 unblinded readout (H1 2027) — the differentiation number (date confirmed=False)

## What remains unverified

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- **The placebo-adjusted benefit itself** — the thesis’s decisive variable is bounded by inference, not observed, until H1 2027.
- **The FDA’s actual position** — “no remaining gaps” is the company’s characterization of a private meeting; no independent text exists.
- **The S-3ASR shelf’s contents and rationale** — the filing text was unreachable (repeated EDGAR 403 errors); blue’s “routine rollover” reading is a hypothesis.
- **The drawn balance on the \$400M Hercules facility** — so the \$845M enterprise value is an upper bound.
- **The Q3 earnings date (2026-11-05)** — vendor-derived, not company-confirmed.
- **Whether parity is commercially sufficient** against an entrenched incumbent — a judgment call no filing can settle.

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PROPOSED, pending adjudication"}}

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